

		A party may move to strike a pleading pursuant to Code of Civil Procedure section 435. In turn, Code of Civil Procedure section 436 provides that a court may strike (a) “any irrelevant, false, or improper matter” in a pleading, or strike (b) all or any part of a pleading “not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” In light of the court’s concurrent ruling regarding Defendants’ demurrer, the motion to strike Plaintiffs’ punitive damages allegations, claims for punitive damages and attorneys’ fees, and Exhibits 1-7 is MOOT. Defendants to give notice.
3	Roberto vs. Clever Care of Golden State, Inc.	<u>Demurrer to Complaint</u> TENTATIVE RULING: Defendant Clever Care of Golden State Inc.’s Demurrer to Plaintiff Ronald Roberto’s Complaint is OVERRULED. The Court finds, while Defendant did not meet and confer “in person or by telephone,” as required by section 430.41, subdivision (a) of the Code of Civil Procedure, the parties have made their positions clear, yet they have been unable to resolve their dispute, thus necessitating the Demurrer. The Court GRANTS Defendant’s requests for judicial notice. <u>Standard for Demurrer</u> In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05.) Questions of fact cannot be decided on demurrer. (<i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (<i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 fn.7.) The complaint must be construed liberally by drawing reasonable inferences from the

facts pleaded. (*Rodas v. Spiegel* (2001) 87 Cal.App.4th 513, 517.) However, the court does not consider conclusions of fact, opinions, or allegations which are either contrary to law or to judicially noticed facts, nor does it accept as true adjectival descriptions or unsupported speculation. (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 398.)

Although courts should take a liberal view of inartfully drawn complaints (see Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).)

First Cause of Action (Sex Discrimination in Violation of FEHA)

Defendant demurs to the first cause of action, arguing Plaintiff failed to identify a single individual outside of his protected class, i.e., a female, who was similarly situated, and who was treated more favorably than him. It also argues, other than the sexual harassment investigation, Plaintiff failed to identify any other alleged discriminatory acts or comments to suggest his termination was due to his sex.

“It is an unlawful employment practice, unless based upon a bona fide occupational qualification, or, except where based upon applicable security regulations established by the United States or the State of California: ... [f]or an employer, because of ... sex, gender, ... to bar or to discharge the person from employment ..., or to discriminate against the person in compensation or in terms, conditions, or privileges of employment.” (Gov. Code, § 12940, subd. (a).)

“To state a prima facie case of gender, race, color, or sexual orientation discrimination under FEHA, a plaintiff must show that: ‘(1) he was a member of a protected class, (2) he was qualified for the position he sought or was performing competently in the position he held, (3) he suffered an adverse employment action ... and (4) some other circumstance suggests discriminatory motive.’ [Citation.] Thus, a plaintiff must establish a causal nexus between the adverse employment action and his protected characteristic. [Citations.]” (*Martin v. Board of Trustees of California State University* (Cal. Ct. App., Nov. 14, 2023, No. B303509) 2023 WL

7537694, at *6, citing *Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 355)

Plaintiff has alleged all of the essential elements to support his cause of action for discrimination based on his sex, as he has alleged:

- Plaintiff was a member of a protected class, i.e., he is a male, and was fired for being a male. (¶ 27.)
- He was performing competently in the position he held. (¶¶ 17-18.)
- He was fired in response to claims he had been staring or leering at other employees. (¶ 19)
- Defendant failed to conduct an adequate investigation, failed to advise Plaintiff's direct supervisors of the allegations against him, failed to provide Plaintiff an opportunity to respond, and was based on allegations of improper behavior that could not have happened, as he was not even at the office at the time of the purported incident. (¶¶ 19-27, 29-32.)

In its Demurrer, Defendant contends that, in order to state sufficient facts to support a FEHA sex discrimination cause of action, Plaintiff was required to allege facts that he was treated less favorably than a female who was similarly situated as he was. However, no such pleading requirement exists. (*Heard v. Lockheed Missiles & Space Co.* (1996) 44 Cal.App.4th 1735, 1754.) Instead, “[a]lthough proof regarding similarly situated employees outside the protected class may be one way of raising an inference of intentional discrimination, *it is not the only way*... as [t]he purpose of the prima facie case is for the plaintiff to produce evidence demonstrating that the employment decision occurred in ‘circumstances which allow the court to infer unlawful discrimination.’ [Citations.]” (*Id.* at p. 1755.)

“To state that a plaintiff may never establish a prima facie case if the plaintiff fails to produce evidence that similarly-situated employees outside the protected class were promoted, restricts unfairly the circumstances from which discrimination may be inferred. [Citation.] Such a requirement also unfairly emphasizes one way of proving intentional discrimination instead of properly focusing upon the pivotal issue in disparate treatment cases—whether a particular individual was discriminated against and why. [Citation.] Although the characteristics of the employee replacing a discharged or demoted employee are certainly relevant in evaluating an employer’s motive for an employment decision, we believe those characteristics go to the weight of the evidence rather

than its legal sufficiency. [Citations.]” (*Heard, supra*, 44 Cal.App.4th at pp. 1755–1756.)

Defendant is also critical that Plaintiff’s discrimination claim is based solely on his speculative belief that the investigation was inadequate, and it implies Plaintiff was required to allege other discriminatory acts or comments. Not so, as “[t]he employee’s burden of proving a prima facie case is not onerous, and very little evidence is required at this step.” (*Zamora v. Security Industry Specialists, Inc.* (2021) 71 Cal.App.5th 1, 37.)

For these reasons, the Court overrules the Demurrer to the first cause of action.

Second Cause of Action (Wrongful Discharge in Violation of Public Policy)

Defendant argues the second cause of action fails because it is derivative of the defective first cause of action.

Because the Court overrules the Demurrer to the first cause of action, it similarly overrules the Demurrer to the second cause of action.

Third Cause of Action (Intentional Interference with Prospective Economic Relations)

Defendant argues Plaintiff has not identified any third party with whom he actually had an economic relationship with, and with whom he had a probability of a future economic benefit. It also argues there are no allegations Defendant knew of any such relationship, and there are no allegations Defendant intentionally disrupted that relationship.

The elements of a cause of action for intentional interference with prospective economic advantage are: “ ‘ (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.” [Citations.]’ [Citation.]” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1153.)

“The law precludes recovery for overly speculative expectancies by initially requiring proof the business relationship contained ‘the probability of future economic benefit to the plaintiff.’” [Citations.]” (*Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 522.) For example, it is insufficient for a plaintiff to claim defendant’s actions interfered with the plaintiff’s potential economic relationships with the entire market. (*Westside Center, supra*, 42 Cal.App.4th at pp. 523-529.)

Plaintiff alleges he is a licensed insurance agent/broker, he had numerous existing clients, and he believed these clients would be interested in Defendant’s insurance products. (Complaint, ¶¶ 27, 65.) However, Defendant, in its continuing campaign of retaliation, blocked Plaintiff from selling its products to Plaintiff’s clients, which amounted to Plaintiff being blackballed by Defendant. (Complaint, ¶¶ 27, 65.) Defendant’s actions interfered with Plaintiff’s ability to earn a living, (Complaint, ¶ 27.)

Contrary to Defendant’s contention, Plaintiff has adequately identified third parties he had an economic relationship with, namely, his existing clients, who he believed would be interested in Defendant’s insurance products. Although Plaintiff does not explicitly allege Defendant knew of these economic relationships, reading the Complaint as a whole, and all its parts in context, Plaintiff has alleged Defendant knew Plaintiff was attempting to mitigate his damages, and to earn a living by selling Defendant’s insurance products to his clients, yet it intentionally “blackballed” Plaintiff in its continuing campaign of retaliating against Plaintiff.

The Court finds Plaintiff has alleged sufficient facts to support his third cause of action, and it overrules Defendant’s Demurrer to same.

Fourth Cause of Action (Intentional Infliction of Emotional Distress)

Defendant makes two arguments in support of its Demurrer to the fourth cause of action. First, it argues the cause of action is barred by the exclusivity of the Workers’ Compensation Act. Next, it contends Plaintiff has not alleged extreme and outrageous conduct. The Court rejects both arguments.

i. Plaintiff’s Emotional Distress Claim is Not Barred by the Workers’ Compensation Act

When the alleged wrongful conduct occurs at the worksite, and in the normal course of the employer-employee relationship, workers' compensation is the Plaintiff's exclusive remedy for his severe emotional distress. (*Miklosky v. Regents of University of California* (2008) 44 Cal.4th 876, 902-903; accord, *Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832-833.)

However, the Court of Appeal for the Fourth District, Division One, more recently held, "absent further guidance from our Supreme Court, we are unwilling to abandon the long-standing view that unlawful discrimination and retaliation in violation of FEHA falls outside the compensation bargain and therefore claims of intentional infliction of emotional distress based on such discrimination and retaliation are not subject to workers' compensation exclusivity. While the Supreme Court in *Miklosy* held that allegations of whistleblower retaliation were insufficient to state an exception to workers' compensation exclusivity, it did not remove the jurisprudential basis on which numerous authorities have held that allegations of FEHA discrimination and retaliation did state such an exception. We therefore adhere to those authorities here." (*Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 101; *M.F. v. Pacific Pearl Hotel Management LLC* (2017) 16 Cal.App.5th 693, 700 [citing to *Light*, the M.F. court held "if the complaint states viable claims against Pacific under the FEHA, the workers' compensation exclusivity doctrine presents no bar to M.F.'s claims, and the complaint is not subject to a general demurrer on this ground"]].)

"[C]onduct in violation of FEHA is not part of the employment relationship or the compensation bargain at the heart of the workers' compensation system." (*Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 100.) "[U]nlawful discrimination and retaliation in violation of FEHA falls outside the compensation bargain and therefore claims of intentional infliction of emotional distress based on such discrimination and retaliation are not subject to workers' compensation exclusivity. (*Id.* at p. 101; see *Smith v. International Brotherhood of Electrical Workers* (2003) 109 Cal.App.4th 1637, 1658 [where "plaintiff's emotional distress claims are based on his employer's violation of fundamental public policies of this state, such misconduct cannot be considered a normal part of the employment relationship and the plaintiff's remedy is not confined to workers' compensation"]].) For the same reason, a claim for negligent infliction of emotional distress is not barred by the exclusivity rule to the extent it seeks emotional distress damages for the alleged work-related injury

discrimination. (*Fretland v. County of Humboldt* (1999) 69 Cal.App.4th 1478, 1492.)

Defendant contends that, pursuant to *Cole v. Fair Oaks Fire Protection Dist.* (1987) 43 Cal.3d 148, the decision to terminate an employee’s employment is part of the normal course of an employment relationship. However, the California Supreme Court later held that the exclusive remedy provisions of workers’ compensation applied “so long as the basic conditions of compensation are otherwise satisfied [citation], and *the employer’s conduct neither contravenes fundamental public policy* [citation] nor exceeds the risks inherent in the employment relationship [citation]....” (*Livitsanos v. Superior Court* (1992) 2 Cal.4th 744, 754, italics added; accord, *Light, supra*, 14 Cal.App.5th at p. 97.) A FEHA violation contravenes fundamental public policy.

Further, as the *Light* court pointed out, “A number of California authorities have concluded claims for intentional infliction of emotional distress in the employment context may be asserted where the actionable conduct also forms the basis for a FEHA violation.” (*Light, supra*, 14 Cal.App.5th at p. 97.) Citing to *Accardi v. Superior Court* (1993) 17 Cal.App.4th 341, the *Light* court explained the Legislature ““did not intend that an employer be allowed to raise the exclusivity rule for the purpose of deflecting a claim of discriminatory practices.”” (*Ibid.*)

ii. Plaintiff Has Alleged Extreme and Outrageous Conduct

A cause of action for intentional infliction of emotional distress exists when there is “ ‘ “(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct.’ ” ” [Citations.] A defendant’s conduct is “outrageous” when it is so ““extreme as to exceed all bounds of that usually tolerated in a civilized community.”” [Citation.] And the defendant’s conduct must be ““intended to inflict injury or engaged in with the realization that injury will result.”” [Citation.]

(*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051; accord, *Miller v. Fortune Commercial Corporation* (2017) 15 Cal.App.5th 214, 228-229.)

“[T]o satisfy the element of outrageous conduct necessary to a cause of action for emotional distress, a plaintiff must allege that (1) the defendant abused a relation or position which gives him power to damage the plaintiff’s interest, (2) the defendant knew that the plaintiff was susceptible to injury through mental distress, or (3) the defendant acted intentionally or unreasonably with the recognition that the acts were likely to result in illness through mental distress. [Citation.]” (*Ankeny v. Lockheed Missiles and Space Co.* (1979) 88 Cal.App.3d 531, 536.) “In order to avoid a demurrer, the plaintiff must allege with ‘great[] specificity’ the acts which he or she believes are so extreme as to exceed all bounds of that usually tolerated in a civilized community. [Citation.]” (*Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832.)

“‘There is no bright line standard for judging outrageous conduct and “... its generality hazards a case-by-case appraisal of conduct filtered through the prism of the appraiser’s values, sensitivity threshold, and standards of civility. The process evoked by the test appears to be more intuitive than analytical...”’ [Citation.]” [Citation.]’ [Citation.] Thus, whether conduct is ‘outrageous’ is usually a question of fact. [Citations.]” (*Yun Hee So v. Sook Ja Shin* (2013) 212 Cal.App.4th 652, 671-672; *Yurick v. Superior Court* (1989) 209 Cal.App.3d 1116, 1129 [“On the spectrum of offensive conduct, outrageous conduct is that which is the most extremely offensive. Depending on the idiosyncracies of the plaintiff, offensive conduct which falls along the remainder of the spectrum may be irritating, insulting or even distressing but it is not actionable and must simply be endured without resort to legal redress”].)

“‘Generally, conduct will be found to be actionable where the “recitation of the facts to an average member of the community would arouse his resentment against the actor, and lead him to exclaim, ‘Outrageous!’” [Citation.]’ [Citation.]” (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494; *Davidson, supra*, 32 Cal.3d at p. 209 [““Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community”].)

Plaintiff has alleged facts that Defendant’s conduct, taken together, rises to the level of extreme and outrageous conduct. More specifically, Defendant terminated Plaintiff, during the holidays, based on allegations that were false and not properly investigated. Plaintiff further alleges Defendant departed from its ordinary policy and practice for handling such allegations. In doing so,